

Q2FY26 RESULT UPDATE

L&T Technology Services Limited

IT Consulting & Engineering Services · 07 September, 2026
Data as of 07-September-2026, 09:35hrs

BUY	CMP	N/A	Target Price	5650
	Upside/Downside	N/A%	Time Frame	—
	BSE Code	—	NSE Code	—
	Bloomberg	—	Sensex	N/A

Record large-deal TCV and broad-based margin gains drive Q2 beat

L&T Technology Services (LTTS) is a global pure-play engineering services company and a listed subsidiary of Larsen & Toubro, offering design, development, testing and sustenance services across the Mobility, Sustainability and Tech segments.

Key Highlights

- Revenue grew 4.0% QoQ and 15.8% YoY to Rs 29,795 million, with USD revenue up 1.3% QoQ in constant currency.
- EBIT margin was 13.4% in Q2FY26 versus 13.3% in Q1FY26, while EBITDA margin rose to 16.5% from 16.1% QoQ.
- Net income rose 4.1% QoQ and 2.8% YoY to Rs 3,287 million; diluted EPS at Rs 30.97.
- Record large deal TCV of ~USD 300 million in the quarter, reflecting strong client confidence in next-gen offerings.
- Sustainability segment grew 12.6% YoY and 3.0% QoQ, now on a USD 50 million annual run-rate account basis.
- Declared an interim dividend of Rs 18 per share, record date October 27, 2025.

Company Data

— No data available —

Shareholding Pattern (%)

— No data available —

Y.E March (₹ Cr)

— No data available —

Price Performance (%)

— No data available —

Outlook & Valuation

LTTS delivered a broad-based beat with margin expansion across EBITDA, EBIT and net income levels, supported by a record large-deal pipeline and resilient demand in the Tech and Sustainability segments. Management expects further improvement in revenue and EBIT margins in H2FY26 versus H1, reiterating its medium-term USD 2 billion revenue target. Given the consistent execution and improving deal momentum, we rate the stock BUY with a target price of Rs 5,650.

Quarterly Financials (₹ Cr)

Metric	Q Current	Q YoY	YoY %	Q QoQ	QoQ %
Sales	29795	25729	15.8	28660	3.96
EBITDA	4908	4660	5.32	4624	6.14
Margin (%)	16.5	18.1	N/A	16.1	N/A
EBIT	3982	3877	N/A	3813	N/A
Reported PAT	3287	3196	N/A	3157	N/A
Adjusted PAT	3287	3196	N/A	3157	N/A
Adjusted EPS	30.97	30.12	N/A	29.77	N/A

Key highlights

- Revenue by geography: North America rose to 54.7% of revenue (+14.4% YoY), while Rest of World fell to 6.5% (-0.4% YoY).
- Revenue by segment: Tech grew 28.6% YoY to 39.4% of revenue; Mobility declined 10.1% YoY to 29.0% of revenue.
- Total headcount stood at 23,678, with voluntary attrition steady at 14.8% LTM; billable headcount at 22,000.
- Free cash flow was Rs 4,166 million YTD FY26 (65% of net income), down from 109% in FY25 due to phasing of working capital and capex.
- Patent portfolio crossed 1,601 filings, of which 978 are co-authored with clients.

Change in Estimates

— No data available —

Consolidated Financials

Profit & Loss	Balance Sheet
— No data available —	— No data available —
Cashflow	Ratio
— No data available —	— No data available —

Recommendation Summary (last 3 years)

— No price history available for this document — — No prior recommendation history available for this document —

Investment Rating Criteria

Ratings	Large caps		Midcaps	Small Caps
Buy	Upside is above 10%		Upside is above 15%	Upside is above 20%
Accumulate	-		Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%		Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%		Downside is more than 0%	Downside is more than 0%

Not rated/Neutral — The analyst has no investment opinion on the stock under review.

▲ Upgrade ● No Change ▼ Downgrade

To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell. The recommendations are based on a 12 month horizon, unless otherwise specified.

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Analyst: —

Date: 07 September, 2026